UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF PUERTO RICO

FRANKLIN CALIFORNIA TAX-FREE TRUST, et al.,

Plaintiffs,

v.

THE COMMONWEALTH OF PUERTO RICO, et al.,

Defendants.

Case No. 3:14-cv-01518-FAB
Hon. Francisco A. Besosa

MEMORANDUM OF LAW IN SUPPORT OF THE MOTION TO DISMISS SUBMITTED BY THE COMMONWEALTH OF PUERTO RICO, GOVERNOR ALEJANDRO J. GARCIA PADILLA, AND JOHN DOE, AGENT FOR THE GOVERNMENT DEVELOPMENT BANK FOR PUERTO RICO

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COME NOW, the Commonwealth of Puerto Rico, Governor Alejandro Garcia Padilla, in his official capacity, without submitting to the Court's jurisdiction and without waiving their affirmative defense to Eleventh Amendment immunity or sovereign immunity, and John Doe, agent for the Government Development Bank for Puerto Rico (collectively, the "Commonwealth Defendants"), through the undersigned attorneys, and very respectfully STATE, AVER and PRAY:

INTRODUCTION

Faced with the most severe fiscal crisis in its history, the Commonwealth of Puerto Rico has taken steps to improve the financial situation of its public corporations and its people. In a valid exercise of its inherent police power, the Commonwealth has enacted the Puerto Rico Public Corporation Debt Enforcement and Recovery Act (the "Act"), P. del S. 1164, which assures the restructuring of debt by public corporations where no federal law applies and ensures these public corporations have the ability to continue to provide vital public services like delivering dependable electricity and clean water. Puerto Rico's public corporations are not eligible to restructure their debts under Chapter 9 of the federal bankruptcy code. And because they are governmental entities, those public corporations are unable to seek relief under Chapter 11. The Act nonetheless parallels these provisions of federal law by creating straightforward restructuring procedures for public corporations to negotiate with creditors.

Plaintiffs, financial funds that claim to hold bonds issued by the Puerto Rico Electrical Power Authority ("PREPA"), now seek a declaration that the Act violates the Bankruptcy Clause, Contract Clause, and Takings Clause of the U.S. Constitution. They also question the constitutionality of the Act's automatic stay provision. Plaintiffs' claims fail on multiple levels.

As an initial matter, Plaintiffs' facial challenge to the constitutionality of the Act is premature and should be dismissed on ripeness grounds unless and until PREPA files for relief under the Act. As to the merits, Plaintiffs' challenge is squarely foreclosed by precedent and thus

fails as a matter of law. For all these reasons, the Amended Complaint should be dismissed.[1]

BACKGROUND

The Current Fiscal Crisis. The fiscal situation in Puerto Rico has reached the most critical point in the Commonwealth's history. In January 2013, the deficit for fiscal year 2012-13 was projected to exceed $2.2 billion. Act, Stmt. of Motives, § A. Even after significant budget cuts, the deficit for that fiscal year ultimately exceeded $1.2 billion. *Id.* And despite additional measures of fiscal discipline approved by the Legislative Assembly, the deficit for the current fiscal year reached $650 million. *Id.* Moreover, in recent years, Puerto Rico has faced a declining population and high unemployment, which have led to a declining tax base and decreases in revenue. *Id.*

The Puerto Rico Public Corporation Debt Enforcement and Recovery Act. In order to address the fiscal emergency facing the Commonwealth and its public corporations, on June 26, 2014, the Legislative Assembly enacted the Puerto Rico Public Corporation Debt Enforcement and Recovery Act. The Act is patterned after the federal bankruptcy code—under which Puerto Rico's public corporations are ineligible to seek relief—and creates a specialized court to exercise *in rem* jurisdiction over the property of any public corporation that seeks protection under the Act. *See id.* §§ 109, 111.

STANDARD FOR MOTION TO DISMISS

A complaint should be dismissed if it fails "to state a claim upon which relief can be granted." Fed. R. Civ. P. 12(b)(6). The First Circuit applies a two-pronged approach to determine the sufficiency of a complaint. *Ocasio-Hernandez v. Fortuno-Burset*, 640 F.3d 1, 12 (1st Cir. 2011). The first prong is to "identify the factual allegation and to identify statements in the complaint that merely offer legal conclusions couched as facts or are threadbare or conclusory." *Soto-Torres v. Fraticell*, 654 F.3d 153, 158 (1st Cir. 2011). "While legal conclusions can provide

[1]The GDB Agent moves to dismiss despite the fact that neither GDB nor its agent have been served with the Amended Complaint. The GDB Agent reserves its rights to object to the sufficiency of service of process pursuant to Fed. R. Civ. P. 12(b)(5) if service is not perfected within the time limit set forth in Fed. R. Civ. P. 4(m).

the framework of a complaint, they must be supported by factual allegations." *Ashcroft v. Iqbal*, 556 U.S. 662, 679 (2009). The second prong requires the Court to ask "whether the facts alleged would 'allow[ ] the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.'" *Soto-Torres*, 654 F.3d at 159.

Here, Plaintiffs bring a facial—as opposed to an as-applied—challenge seeking a declaration that the Act and "any prospective enforcement thereof" violates the Constitution. The First Circuit "imposes a very heavy burden on a party who mounts a facial challenge to a state statute." *McCullen v. Coakley*, 571 F.3d 167, 174 (1st Cir. 2009). Specifically, to succeed on such a challenge, Plaintiffs "must establish that no set of circumstances exists under which the act would be valid." *Williams v. Puerto Rico*, 910 F. Supp. 2d 386, 392-93 (D.P.R. 2012). Given that high standard, "[a] facial challenge to a legislative act . . . is considered 'the most difficult challenge to mount successfully.'" *Williams*, 910 F. Supp. 2d at 392-93 (quoting *United States v. Salerno*, 481 U.S. 739, 745 (1987)).

ARGUMENT

I. Unless PREPA Seeks Relief Under the Act, This Lawsuit Is Premature and Unripe.

Article III of the U.S. Constitution prohibits federal courts from rendering advisory opinions, limiting their jurisdiction to live cases and controversies. *See Roman Catholic Bishop of Springfield v. City of Springfield*, 724 F.3d 78, 89 (1st Cir. 2013). Plaintiffs lack standing to sue unless they show that they have "suffered some actual or threatened injury as a result of the putatively illegally conduct of the defendant, and that the injury can be fairly traced to the challenged action and is likely to be redressed by a favorable decision." *McInnis-Misenor v. Me. Med. Ctr.*, 319 F.3d 63, 67 (1st Cir. 2003). As the Supreme Court has also made clear, "a claim is not ripe for adjudication if it rests upon contingent future events that may not occur as anticipated, or indeed may not occur at all." *Texas v. United States*, 523 U.S. 296, 300 (1998) (quotation omitted).

To date, no public corporation—including PREPA—has sought relief under the Act. Plaintiffs simply allege that proceedings under the Act would be preempted and would raise

constitutional concerns if they were to occur. Because they have suffered no injury and can point to no imminent harm, Plaintiffs lack standing to sue. *See Lujan v. Defenders of Wildlife*, 504 U.S. 555, 560 (1992). And because the lawsuit turns on the mere possibility that PREPA will seek relief, Plaintiffs' claims are unripe for review. *See Ernst & Young v. Depositors Econ. Prot. Corp.*, 45 F.3d 530, 537-38 (1st Cir. 1995). Plaintiffs essentially ask this Court to render an advisory opinion about proceedings that may never occur, based on an alleged future injury that they may never suffer. For this reason, the claims should be dismissed.

II. The Act Is Not Preempted By the Federal Bankruptcy Code and Does Not Violate the U.S. Constitution's Bankruptcy Clause.

A. The Act Is a Valid Exercise of Puerto Rico's Police Power.

The Act is a proper exercise of Puerto Rico's sovereign police power. Puerto Rico's Constitution—established by the People of Puerto Rico and approved by Congress and the President, *see* Pub. L. 82-447, 66 Stat. 327 (July 3, 1952)—explicitly recognizes "[t]he power of the Legislative Assembly to enact laws for the protection of the life, health and general welfare of the people shall . . . not be construed restrictively." P.R. CONST. art. II, § 19; *see also* 48 U.S.C. § 821; *Examining Bd. of Eng'rs, Architects & Surveyors v. Flores de Otero*, 426 U.S. 572, 594 (1976) ("The purpose of Congress in the 1950 and 1952 legislation was to accord to Puerto Rico the degree of autonomy and independence normally associated with States of the Union."). In their principal challenge to the Act, Plaintiffs nonetheless claim that laws relating to the restructuring of debts fall within Congress's exclusive province pursuant to the Bankruptcy Clause of the U.S. Constitution.

Plaintiffs' effort is badly misguided. To be sure, the Bankruptcy Clause affords Congress the power "[t]o establish . . . uniform laws on the subject of Bankruptcies throughout the United States." U.S. CONST. art. I, § 8, cl. 4. But the Supreme Court has long made clear that the mere existence of this power does not occupy the field and extinguish local authority to regulate bankruptcies involving public entities. Indeed, it was not until 1938 that the Supreme Court ruled that the federal bankruptcy power extends to laws governing municipalities and other state

entities in the first place. *Compare United States v. Bekins*, 304 U.S. 27, 51-52 (1938) (upholding federal municipal restructuring law), *with Ashton v. Cameron Cnty. Water Improvement Dist.*, 298 U.S. 513, 529-32 (1936) (striking down federal municipal restructuring law as impinging on state sovereignty). Even then, the Supreme Court approved federal control over the bankruptcies of state entities only because the statute in question (a precursor to Chapter 9 of the Bankruptcy Code) was "carefully drawn so as not to impinge on the sovereignty of the State." *Bekins*, 304 U.S. at 50-51. The Court credited the fact that the federal statute allowed "[t]he State [to] retain[] control of its fiscal affairs" and exercised the bankruptcy power "only in a case where the action of the taxing agency in carrying out a plan of composition approved by the bankruptcy court is authorized by state law." *Id.*

Under clear Supreme Court precedent, state and local governments retain the power to pass their own restructuring statutes, so long as they do not conflict with federal law.[2] Congress has not wholly occupied the field, and the Constitution does not vest it with exclusive power to enact such laws. *See, e.g.*, *Faitoute Iron & Steel Co. v. City of Asbury Park, N.J.*, 316 U.S. 502, 508-09 (1942) (upholding New Jersey's power to enact bankruptcy statute for its municipalities against constitutional challenge, concluding the state was not "powerless in this field" to devise "autonomous regulations" for the "fiscal management of its own household"). State laws on the subject are "suspended only to the extent of actual conflict with the system provided by the Bankruptcy Act of Congress." *Stellwagen v. Clum*, 245 U.S. 605, 613 (1918); *see also FDIC v. Torrefación Café Cialitos, Inc.*, 62 F.3d 439, 443-44 (1st Cir. 1995).

For this reason, courts have upheld state restructuring or liquidation proceedings that apply to entities—such as banks and insurance companies—that are specifically excluded from the protection of federal bankruptcy law under 11 U.S.C. § 109(b)(2). *See, e.g.*, *Neblett v.*

[2]Here, Puerto Rico's Act does not deploy the unique aspect of the federal bankruptcy power recognized by the Supreme Court, namely the discharge of the petitioner of its obligation to use future earnings to pay preexisting debts beyond the value of the petitioner's assets. *Stellwagen v. Clum*, 245 U.S. 605, 616 (1918) ("[A]ll the cases lay stress upon the fact that one of the principal requisites of a true bankruptcy law is for the benefit of the debtor in that it discharges his future acquired property from the obligation of existing debts."); *accord Hanover Nat'l Bank v. Moyses*, 186 U.S. 181, 187-88 (1902).

Carpenter, 305 U.S. 297 (1938) (rehabilitation of an insurance company under the Insurance Code of California); *Doty v. Love*, 295 U.S. 64 (1935) (reorganization of a bank under a Mississippi statute).

The Commonwealth may authorize proceedings for the restructuring of its public entities for precisely the same reasons. Puerto Rico's public entities are not currently governed by any federal bankruptcy law. Rather—much like banks and insurance companies—they fall into a gap in the Bankruptcy Code. On the one hand, because Puerto Rico is not a "state" for "the purpose of defining who may be a debtor under chapter 9," 11 U.S.C. § 101(52), its political subdivisions, public agencies, and instrumentalities are not "municipalit[ies]" eligible to reorganize under Chapter 9. *See* 11 U.S.C. §§ 101(40), 109(c)(1), 109(c)(2). At the same time, because those entities are classified as "governmental unit[s]" for purposes of 11 U.S.C. § 101(41), they are not "person[s]" for purposes of the Bankruptcy Code and thus cannot seek the Chapter 11 relief available to their counterparts in the 50 states. *See* 11 U.S.C. § 109(b), (d). As a result, there is no federal restructuring scheme that conflicts with or displaces the public-entity restructuring law enacted by Puerto Rico pursuant to its inherent police power. *See, e.g.*, *Stellwagen*, 245 U.S. at 613.

The Supreme Court has long emphasized the importance of protecting state police power. *See, e.g.*, *Home Bldg. & Loan Ass'n v. Blaisdell*, 290 U.S. 398, 444 (1934) (recognizing "reserved power of the state to protect the vital interests of the community" in time of emergency). Given the clear precedent permitting state and territorial regulation of bankruptcy, and the absence of any federal scheme whatsoever that public corporations in Puerto Rico might invoke, Plaintiffs cannot demonstrate that the mere existence of federal bankruptcy power displaces the Commonwealth's sovereign authority.

B. Section 903's Limited Reach Does Not Actually Conflict With the Act.

Plaintiffs next allege that Section 903 of the Bankruptcy Code (a provision of Chapter 9) prohibits the Commonwealth from adopting the Act. This argument fails as well—especially because courts must "start with the assumption that the historic police powers of the States [are]

not to be superseded by [a] Federal Act unless that was the clear and manifest purpose of Congress." *Medtronic, Inc. v. Lohr*, 518 U.S. 470, 485 (1996).

As a starting point, the principal purpose of Section 903 is to protect state sovereignty by making clear that Chapter 9 "does not limit or impair the power of a State to control, by legislation or otherwise, a municipality of or in such State in the exercise of the political or government powers of such municipality." 11 U.S.C. § 903. Indeed, the section's title is "Reservation of state power to control municipalities." Plaintiffs' argument turns instead on Section 903's caveat that "a State law prescribing a method of composition of indebtedness of such municipality may not bind any creditor that does not consent to such composition." *Id.* § 903(1).

CONCLUSION

WHEREFORE, it is respectfully requested from this Honorable Court that it GRANT the instant motion and DISMISS the Amended Complaint.

Respectfully submitted,

Dated: July 21, 2014

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this same date I electronically filed the foregoing with the Clerk of the Court using the CM/ECF system, which will send notification of such filing to all counsel of record.

In San Juan, Puerto Rico, this 21st day of July 2014.

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